MFANO BANK

A fictional bank for a portfolio project

STAFF POLICY

Salary advance and staff loans

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Status	Live
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Owner	Human Resources
Approved by	Head of Human Resources
Classification	Internal

This document is fictional. It does not describe the procedures of any real bank.

Document control

What changed in version 2: The salary advance limit rises from 30 to 50 percent of net monthly salary.

Version history

Version	Effective date	Change
1	2024-01-01	First issue
2	2026-04-01	Salary advance limit raised to 50 percent of net salary

Approval and distribution

Approved by the Head of Human Resources. Owned by Human Resources. Distributed to all branches through the intranet. Printed copies are not controlled; always check the intranet for the current version.

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1. Purpose

This policy sets out how staff apply for salary advances and staff loans.

2. Scope

This policy applies to confirmed permanent staff.

3. Definitions

- **Salary advance:** part of next month's salary paid early and recovered from that salary.
- **Staff loan:** a loan to a staff member on staff terms, repaid by salary deduction.
- **Net salary:** salary after tax and statutory deductions.

4. Roles and responsibilities

- **Staff member:** applies in the HR system.
- **Human Resources:** checks eligibility and limits.
- **Finance:** approves and pays.

5. Procedure

5.1 Salary advance

Confirmed staff may request a salary advance of up to 50 percent of net monthly salary, once per quarter. It is recovered in full from the next payroll.

5.2 Staff loans

Confirmed staff may apply for a staff loan with a term of up to 5 years. Total deductions for all staff loans may not exceed 40 percent of net monthly salary.

5.3 Applying

Apply in the HR system. Human Resources checks eligibility and limits; Finance approves and pays.

5.4 No self-approval [MANDATORY CONTROL]

Staff must not approve, process or disburse their own salary advance or loan, or those of a relative.

6. Exceptions and escalation

- **Staff on probation:** not eligible, except for emergencies approved by the Head of Human Resources.

7. Records and retention

Staff loan files: until repaid plus 7 years. Records are kept in the branch file room or the document management system and destroyed only under the bank's records retention schedule. Records that are part of an open complaint, dispute, audit or investigation are kept until it is closed.

8. Monitoring and quality assurance

Back office quality assurance reviews a sample of files every month against this policy and reports exceptions to the branch manager and to Human Resources. Repeated exceptions at a branch are reported to the Head of Branch Operations. Internal audit may review compliance with this policy at any time.

9. Related documents

- HR-POL-01 Staff code of conduct
- CIR-CRD-21 Loan origination checklist

Appendix A: Frequently asked questions

Q1. How much salary advance can I take?

Up to 50 percent of net monthly salary, once per quarter.

Q2. What is the longest staff loan term?

5 years.